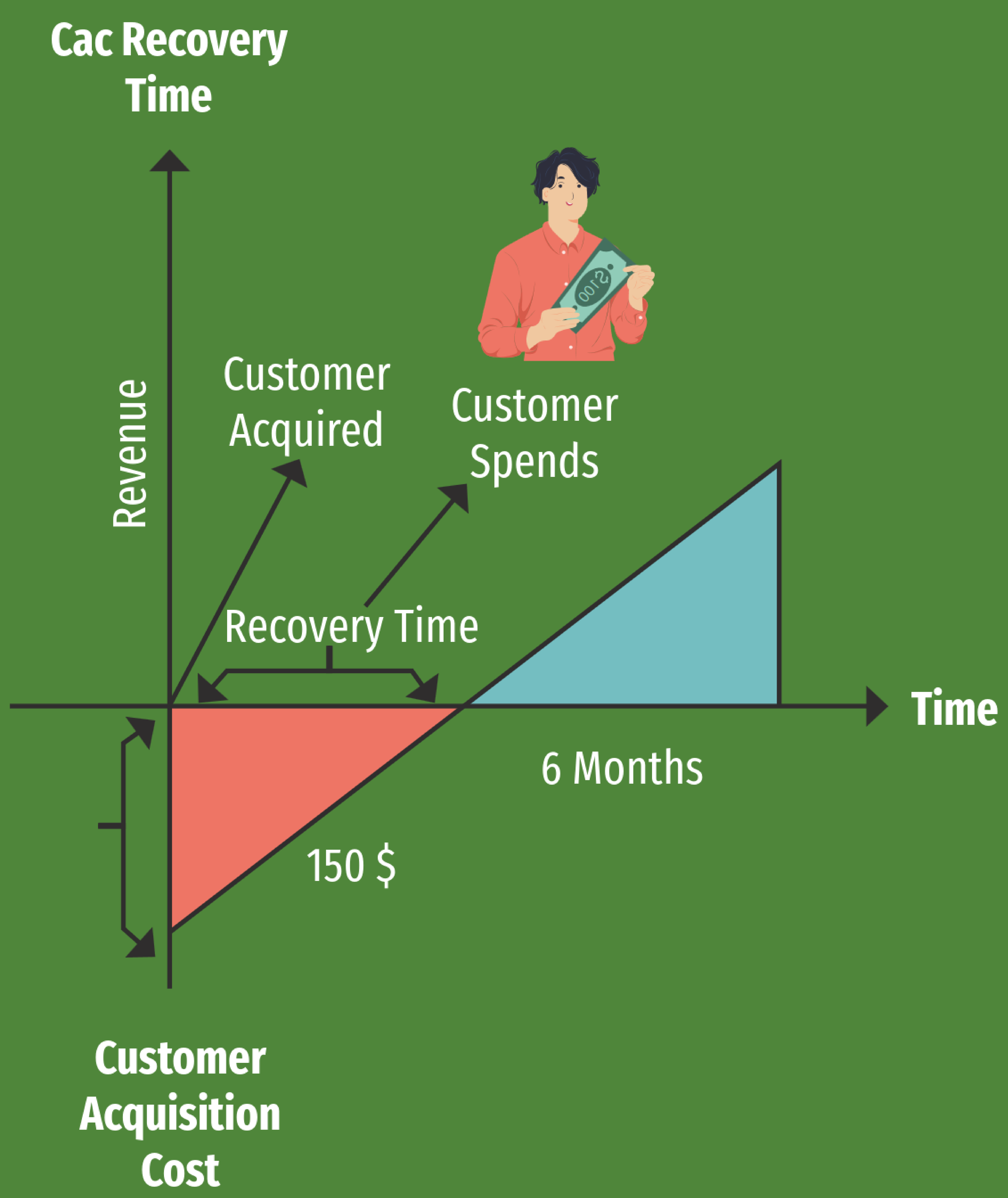
For instance, if a customer spends an average of $100 per year, and the average customer lifespan is estimated to be 10 years, then the LTV of that customer would be $1,000.

Life Time Value = $1000

CAC Recovery Time

CAC Recovery Time is the duration a company takes to recover the cost of acquiring a new customer using the gross profit generated from that customer. A shorter CAC recovery time improves cash flow and accelerates financial growth.

$$\text{CAC Recovery Time} = \frac{\text{Customer Acquisition Cost}}{\text{Monthly Gross Profit per Customer}}$$



If a toy store spends $150 to acquire a new customer (CAC = $150). The customer spends an average revenue of $25 per month. If the store has a gross margin of 50%, the gross profit per month is $12.50.
Then,
CAC Recovery Time
= 150/12.50 = 12 months